Income Versus Growth

Different funds have different investing objectives. Funds whose objective is current income invest heavily in bonds because of the steady interest income they generate. These funds appeal to retirees and those on a fixed income. Funds whose objective is long-term growth invest in stock, stock mutual funds, and real estate because those investments usually increase in value over time. Growth and income funds are a hybrid of these two types and invest in both kinds of securities.

Load and No-Load Funds

Load is a sales fee or commission charged by some mutual funds, and is usually stated as a percentage of the amount purchased or sold. Front-end loads are fees charged up front when you buy the fund so that the full purchase price will not be invested. Back-end loads are fees you pay when you sell the fund. If the load is 6 percent and you invest $2,000, the load will be $120. Funds that don’t charge front-end or back-end loads are called no-load funds. When choosing a mutual fund, consider the load, if any, and the annual expense ratio. These will reduce your return. If you buy a fund with a 6 percent load and a 2 percent expense ratio, you have to earn an 8 percent return the first year before you break even. Many investment websites will provide a comparison of the average load and expense ratios of the mutual fund type you are interested in.

ALERT

The best-known index is Standard & Poor’s 500, which invests in the top 500 U.S. stocks. The largest and best-known index stock fund is Vanguard 500 from The Vanguard Group. Over the last decade it has outperformed 90 percent of all other mutual funds, while having one of the lowest expense ratios in the market. These funds usually are no- load and have very small expense ratios since there is no need to have the fund actively managed.
